Conflict of Interest

Policy Number
CORP-100.80.23

Policy Category
Compliance & Legal

Effective Date
7/20/2005

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11/1/2019

Canon Americas Policy
Yes

Applies To
Canon Americas
Canon U.S.A., Inc.
Canon Solutions America, Inc.
Canon Information Technology Services
Canon Canada, Inc.
Virtual Imaging, Inc.
Canon Financial Services
Canon Mexicana, S de RL de CV
Canon Information and Imaging Solutions

Department Owner
Corporate Compliance

Policy Purpose
The purpose of this Policy is to prevent conflicts of interest from interfering with the ability of any employee to make decisions solely in the best interests of Canon U.S.A., Inc. ("Canon U.S.A."), its subsidiaries, and affiliates.

Policy Scope
This Policy applies to every Canon U.S.A. employee in the Company's headquarters, regional offices and other facilities and to every employee in Canon U.S.A.'s subsidiaries and affiliates (collectively, "the Company").

Policy Statement
Employees of Canon U.S.A., Inc. ("Canon U.S.A.") must avoid situations and activities where their Personal Interests could conflict, or reasonably appear to conflict, with the interests of the Company. Whether a conflict exists is to be decided by the Canon U.S.A. Compliance and Disclosure Committee, and all decisions of the Committee are final.

Given the evolving nature of the Company's business, including entering new areas of business, conflicts of interest or even the appearance of a conflict can change over time. The Company will not grandfather any pre-existing conflict situations, and an employee must discontinue any activities that become a violation of this Policy.

Canon reserves the right to take disciplinary/corrective action in response to violations of this policy, up to and including termination of employment.

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Policy Definitions

Gifts
Immediate Family
Personal Interest
Substantial Interest
Supplier

Related Policies

Guidance for Ethical Behavior: Employee Code of Conduct

Compliance Program Implementation and Interpretation

Government Relations - Dealing with Government Employees

Procurement

Corporate Procurement Ethics and Conduct

Corporate Procurement

CSA Guidance for Ethical Behavior: Employee Code of Conduct

Policy Attachments

CORP-100.80.23.01 Conflicts of Interest Declaration & Disclosure Statement.pdf

02.01 Conflict of Interest Disclosure

Area Objective

All employees are required to report Personal Interests or other circumstances which might constitute conflict of interest to the **Canon U.S.A. Legal Division**.

All employees are required to attest to Canon U.S.A.'s Conflict of Interest Disclosure upon hire and upon completion of required Conflict of Interest trainings. Completing the Conflict of Interest Disclosure does not exempt any employee from the requirements of this policy.

02.02 Gifts. Favors. and Entertainment

Area Objective

No employee or any member of his or her Immediate Family shall solicit or accept any compensation, advance, or loans (except from established financial institutions on the same basis as available to other customers) or Gifts or other favors of any kind from an actual or prospective customer or Supplier of the Company. Employees may not accept Gifts of money under any circumstances, nor may they solicit non-monetary Gifts, gratuities, or any other personal benefit or favor of any kind from Suppliers or customers.

Illustration #1 - Unsolicited Gifts: Employees and members of their immediate families may accept unsolicited, non-monetary gifts from a business firm or individual(s) doing or seeking to do business with a Canon company only if: (i) the gift is of nominal value (not exceeding $50 in value); or (ii) the gift is primarily of an advertising or promotional nature. Gifts of more than nominal value may be accepted if protocol, courtesy or other special circumstances exist, as sometimes happens with international transactions. However, all such Gifts must be reported to the Canon U.S.A. Legal Division and/or Corporate Compliance office, who will determine if the employee may keep the gift, must return it, or whether it should more appropriately become Company property.

Illustration #2 - Discounts on Personal Purchases: An employee may accept discounts on a personal purchase of the Supplier's or customer's products only if such discounts do not affect the Company's purchase price and are generally offered to others having a similar business relationship with the Supplier or customer.

Illustration #3 - Business Entertainments and Services: Employees may not encourage or solicit entertainment or services from any individual or company with whom the Company does business. From time to time, employees may offer or accept entertainment or services, but only if the entertainment or services are reasonable and occur infrequently. Offering or accepting entertainment which is not a reasonable adjunct to a business relationship, but is primarily intended to gain favor or influence, should be avoided.

Illustration #4 - Employee Judgment: Under no circumstances should a Gift or entertainment be accepted which would influence

the employee's judgment. Specifically, employees must avoid any interest in or benefit from any Supplier that could reasonably cause them, or reasonably appear to cause them, to favor that Supplier over others. It is a violation of this Policy to solicit or encourage a Supplier to give any item or service to an employee, regardless of its value.

02.03 Personal Financial Gain

Area Objective

No employee may directly or indirectly benefit, or seek to benefit, from his or her position as an employee from any sale, purchase or other activity of the Company or information obtained from Company sources that is not generally available to the public.

Employees should avoid any outside financial interest that might influence decisions or actions of the Company Interests which might influence decisions or actions of the Company include:

- A personal or family interest in an enterprise that has business relations with a Canon company (This restriction does not apply to minimal holdings of the stock or other securities of a corporation whose shares are publicly traded, do not represent a Substantial Interest and which may incidentally do business with a Canon company.)
- An investment in another business that competes directly with the Company (This does not apply if the investment is not a significant part of the employee's or their family's income or net worth, or the area of competition has minimal effect on the Company.)

Any employee who deals with individuals or organizations doing, or seeking to do, business with a Canon company, or who makes recommendations with respect to such dealings may not have any other direct or indirect personal/family interest in any business transaction with the Company (other than (i) customary employee purchases of Company products or services as consumers and (ii) transactions where the interest arises solely by reason of the employee relationship or that of a holder of securities that represent less than a Substantial Interest).

02.04 Outside Employment and Other Relationships

Area Objective

Employees should avoid outside employment or activities that would have a negative impact on the performance of their job with the Company., or conflict with the obligation to Canon U.S.A., or in any way negatively impact the Company's reputation in the community. Employees should not engage in any activity, whether business or technical, which competes with interests of the Company.

Specifically, employees must not:

a) be employed outside the Company or serve as an officer, director or consultant or own a Substantial Interest in any business that competes with, provides services or seeks to provide services to the Company.;

b) serve as an officer or director of a for-profit corporation or organization that competes with, provides services or seeks to provide services to the Company without approval from the Canon U.S.A. Corporate Compliance Committee;

c) have any interest, direct or indirect, in any competitor of the Company if such interest might in any way influence the performance of his or her duties for the Company;

d) engage in outside employment which would conflict with Company business hours, including overtime, or the performance of Company assignments;

e) use the Company's time, materials, information or other assets (e.g. Company owned or leased equipment or machinery) in connection with outside employment or other personal business interests;

f) act in any other manner that would affect their objectivity in carrying out their Company responsibilities;

Employees concerned about a potential conflict of interest due to outside activities should consult with the Legal Division, the Corporate Compliance Office or the Canon U.S.A. Compliance and Disclosure Committee.

Illustration #5 - Outside Interests: No employee should have any outside (that is, non-company) interest, direct or indirect, in any transaction or series of transactions to which the Company is a party if such interest might in any way influence the performance of his /her duties to the Company, unless first approved in writing by a duly authorized officer of Canon U.S.A. after a full

disclosure of all the facts. This rule has many specific applications. For example, (a) an employee should not own a Substantial Interest in the stock or other securities of a customer or Supplier; and (b) an employee should not borrow money from a customer or vendor, except from a duly licensed bank.

02.05 Employment of Family Members

Area Objective

Family members of employees will not be employed on a permanent or temporary basis by the Company where the family member reports directly or indirectly to the employee or the employee exercises any direct or indirect influence with respect to the relative's hiring, placement, promotions, evaluations or pay. In addition, a family member will not be employed in positions where they report to the same supervisor.

The fair employment laws in some states prohibit marital status discrimination; therefore, rules covering the employment and placement of relatives must be evaluated against these limitations.

Employees may not do business on behalf of the Company with Immediate Family, close personal friends or other relatives; however, recognizing that such transactions nevertheless sometimes occur, they must be immediately reported to a supervisor and must be performed in a manner in which all parties to the transaction act in the best interests of their respective employers or organizations and are not subject to pressure or duress from another party (e.g., the Canon employee(s) involve must act in the best interests of Canon, not their own self-interest nor the interests of other parties.)

02.06 Obtaining Approval for Public Service and Charitable Activities

Area Objective

The Company's employees are encouraged to participate in public service and charitable activities so long as they do not create actual or potential conflicts with the employee's duties to the Company. Prior to accepting an appointment in public service, serving on the board of a charitable institution or running for political office, an employee must obtain approval from the Canon U.S.A. Compliance and Disclosure Committee.

In order to obtain approval, an employee must give written notice to his/her Supervisor so that it can be determined whether such activity would create an actual or apparent conflict of interest. If it is determined that the activity is a conflict of interest or otherwise adversely affects the Company, the employee may be required to decline to accept the appointment or run for office or be required to resign his/her position.

The final decision over whether a situation creates a conflict is made by the Canon U.S.A. Compliance and Disclosure Committee.

02.07 Future Conflict Situations

Area Objective

The evolving nature of the Company's business may change a previously acceptable situation into a potential conflict of interest. The Company will not grandfather any preexisting conflict situations. When such a conflict arises, employees will be asked to discontinue such activities.

The above REQUIREMENTS and ILLUSTRATIONS are illustrative and by no means intended to be complete. To the extent that you have any further questions, you should contact your supervisor, the Canon U.S.A. Legal Division, Canon U.S.A. Corporate Compliance office, or a member of the Canon U.S.A. Compliance and Disclosure Committee.

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